AI-POWERED LEARNING

The Better Policy Project

The Prudent Risk Management Approach to Macroeconomic Policy:

FPAS Mark 2 Current Analysis and Constructing Scenarios

The Better Policy Project Team
Bangkok 2026

Guiding Principle

"I'd rather have Bob Solow than an econometric model, but I'd rather have Bob Solow with an econometric model than without one." - Stanley Fischer, 2017 Speech

https://www.federalreserve.gov/newsevents/speech/50f93e5451e342848b2b9b5e775bf9ae.htm

Scenario Rules

- Find the middle ground between overly specific (estimated/quantified) and overly generic (pessimistic vs optimistic, inflation is slightly worse or slightly better)
  - Be in the ballpark. There is typically enormous uncertainty, specific estimates tend to generate a false sense of confidence.
  - Pick a specific topic/narrative to motivate why the inflation outlook should be better or worse

- We are not forecasting but **illustrating** an issue and thinking about its possible policy implications

The 28-Day Policymaking Round

T-28 → Kick-Off: Concise briefing to board about current economic drivers; robust discussions between board members and staff about major concerns & tail risks

→ Board members work with Level 2 GFS Coordinators to help create the ingredients of a one-page narrative of their favorite illustrative Case A and Case B scenarios.

T-17 → Submission of One-Pagers

T-14 → Issues Meeting

→ **Projection Round**: Chief Economist and Staff systematically build out Case A & Case B scenarios. Board members work with Level 2 GFS coordinators who help monitor the process to understand what ingredients are in the Case A and B scenarios, and what ingredients will be used to qualitatively discuss other types of Case A and B scenarios.

T - 3 → Lock In Case A and B Scenarios (and Case X and Y, when Necessary)
With endogenous policy paths, narratives, and (relative) welfare calculations (short-run output-inflation trade-off)

T → Policy Decision & Communication

GFS = Global Forecasting School
SME = Subject Matter Expert
SME1 = Level 1 GFS Student
SME2 = Level 2 GFS Student

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- **Case B: Kevin Warsh Narrative**

- **Trimmed Mean Inflation:** This alternative inflation metric isolates the core trend by discarding the most extreme price increases and decreases for any given month. Warsh points out that standard core indexes (like Core PCE) are too rigid, whereas trimmed averages more accurately reflect generalized, everyday price changes in the broader economy.

- **Artificial Intelligence (AI):** Warsh argues that widespread AI integration will structurally lower the cost of doing business and producing goods. He compares the potential economic benefits to the internet revolution of the 1990s, where rapid technological growth allowed the economy to expand without sparking severe inflation.

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- **Case B: Kevin Warsh Narrative**

- **Inflation Outlook:** believes the **underlying inflation trend is much more benign** than the core/headline numbers suggest. He is optimistic that the U.S. economy can grow and expand without reigniting out-of-control inflation, **provided that productivity remains strong.**

- Modeling point-of-view. Key assumptions and shocks:
  - High Credibility Scenario
  - Positive Supply/Potential Output Shock

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- **Case A: Other Governor Narratives**
- **Lorie Logan:** She points to a job market that doesn't have slack in it and corporate earnings that are "going gangbusters" as clear evidence that demand is too strong, creating an environment where businesses still possess the leverage to hike consumer prices
- **Chris Waller:** Waller worries about a structural shift in how the American public views inflation. He argues that if consumers begin expecting elevated inflation to persist through the end of the year, it will trigger a psychological cycle that makes price pressures far more difficult to stamp out, regardless of productivity gains from AI.
- **Michelle Bowman**: Bowman argues that the longer the conflict lasts, the higher the odds that supply-chain disruptions mutate into persistent, sticky inflation. She also notes that while AI investments may lower production costs in the medium term, the immediate, aggressive capital spending on AI infrastructure is actually compounding supply-chain pressures.

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- **Case A: Other Governor Narratives**

- Modeling point-of-view. Key assumptions and shocks:
  - Positive aggregate demand/output gap shock (Logan)
  - Higher NAIRU (Logan)
  - Lower Credibility Scenario (Waller)
  - Negative Supply/Potential Output Shock – second round inflation effects (Bowman)

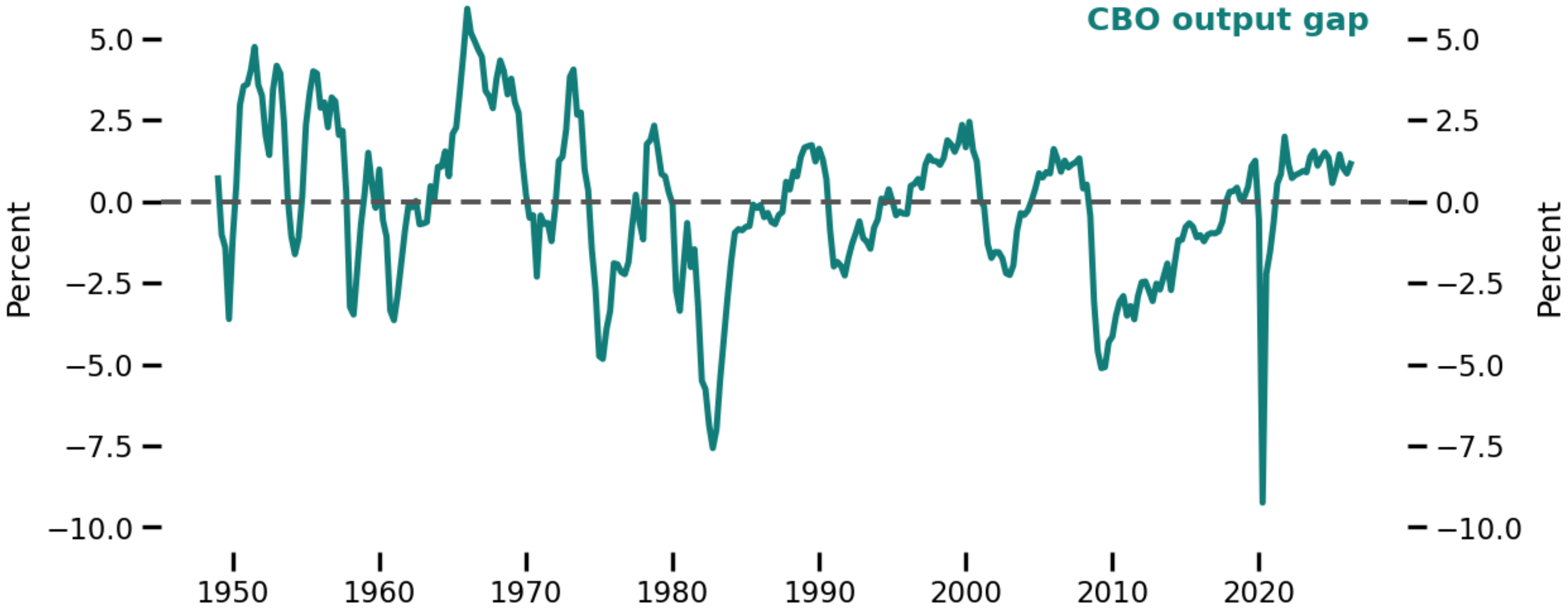
Where is the economy today?

Let's take the CBO's estimates as a reference point.

There are some reasons to dislike these estimates…

Namely over reliance on statistical methods and not enough economic intuition…

In particular, during the pandemic period.

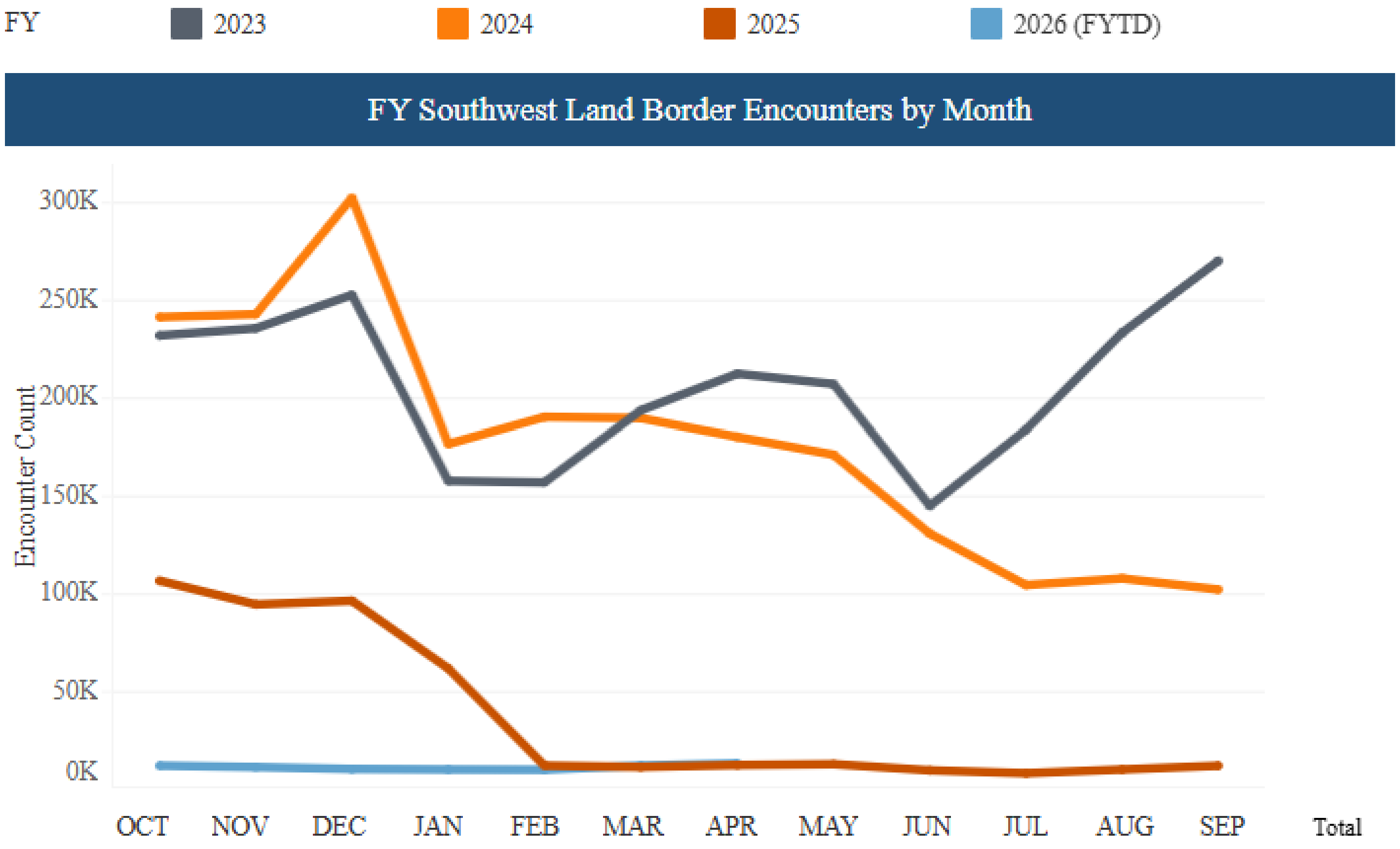


Where is the economy today?

A Case A view:

- From a monthly inflow of about 200k in 2023-2024 has fallen close to zero since the Trump administration took office.

- Immigration restrictions have significantly reduced labor supply

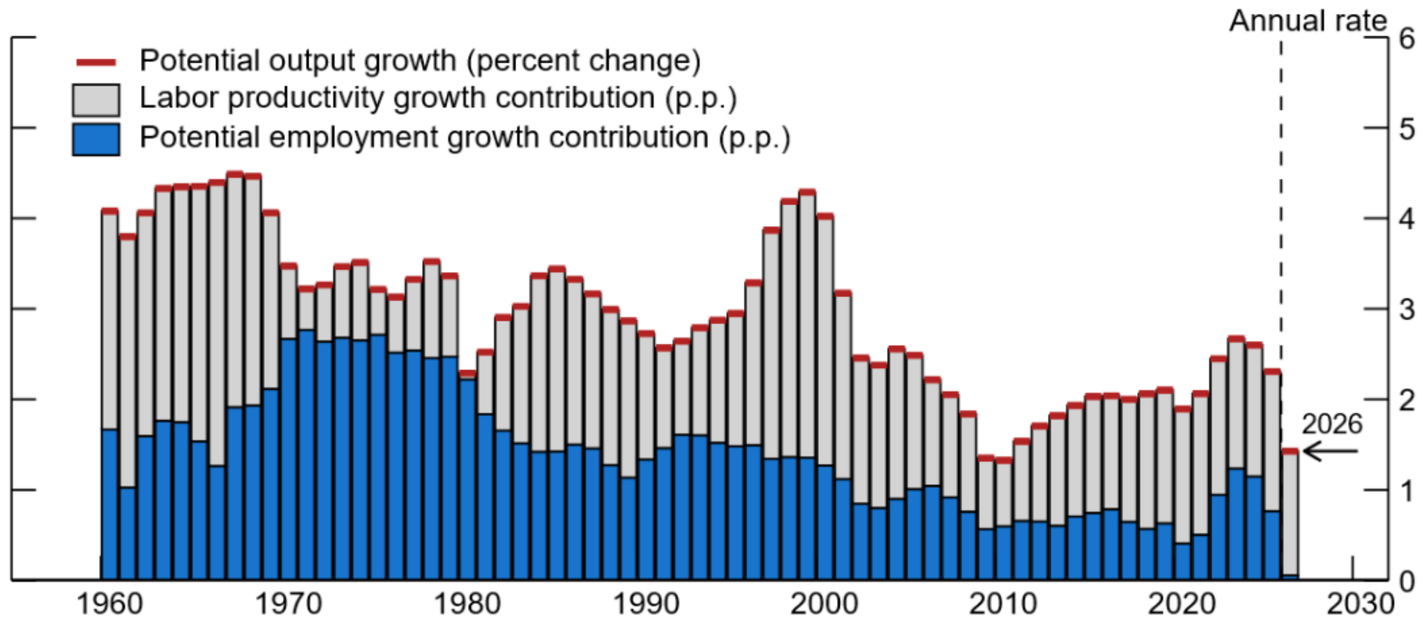


Where is the economy today?

A Case A view:

- Fed research suggests labor supply contribution to potential has fallen to zero meaning all potential output growth is coming from productivity, estimated at 1.4%.

Figure 3. Potential GDP growth decomposition



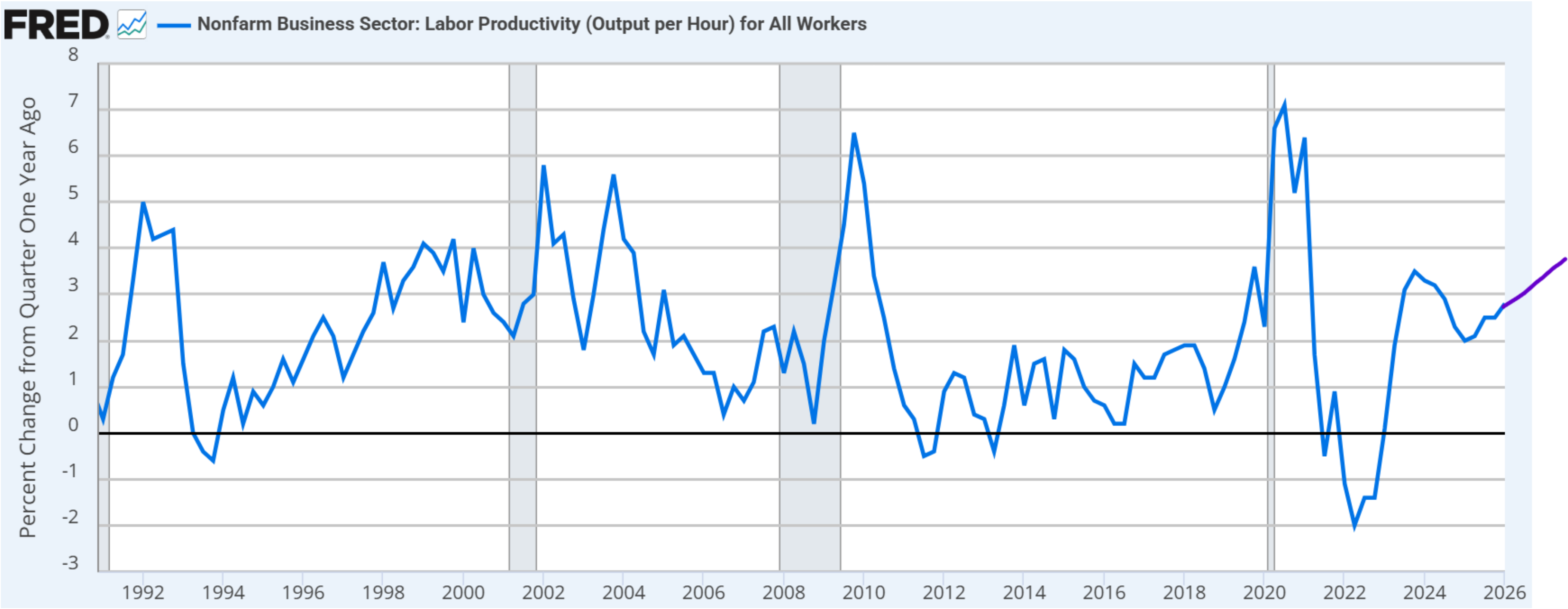
Where is the economy today?

A Case B view:

- We are entering a period of high and rising labor productivity due to AI

- Lots of Fed research these days pushing a view that we are approaching a higher productivity world.

- Could take some estimates

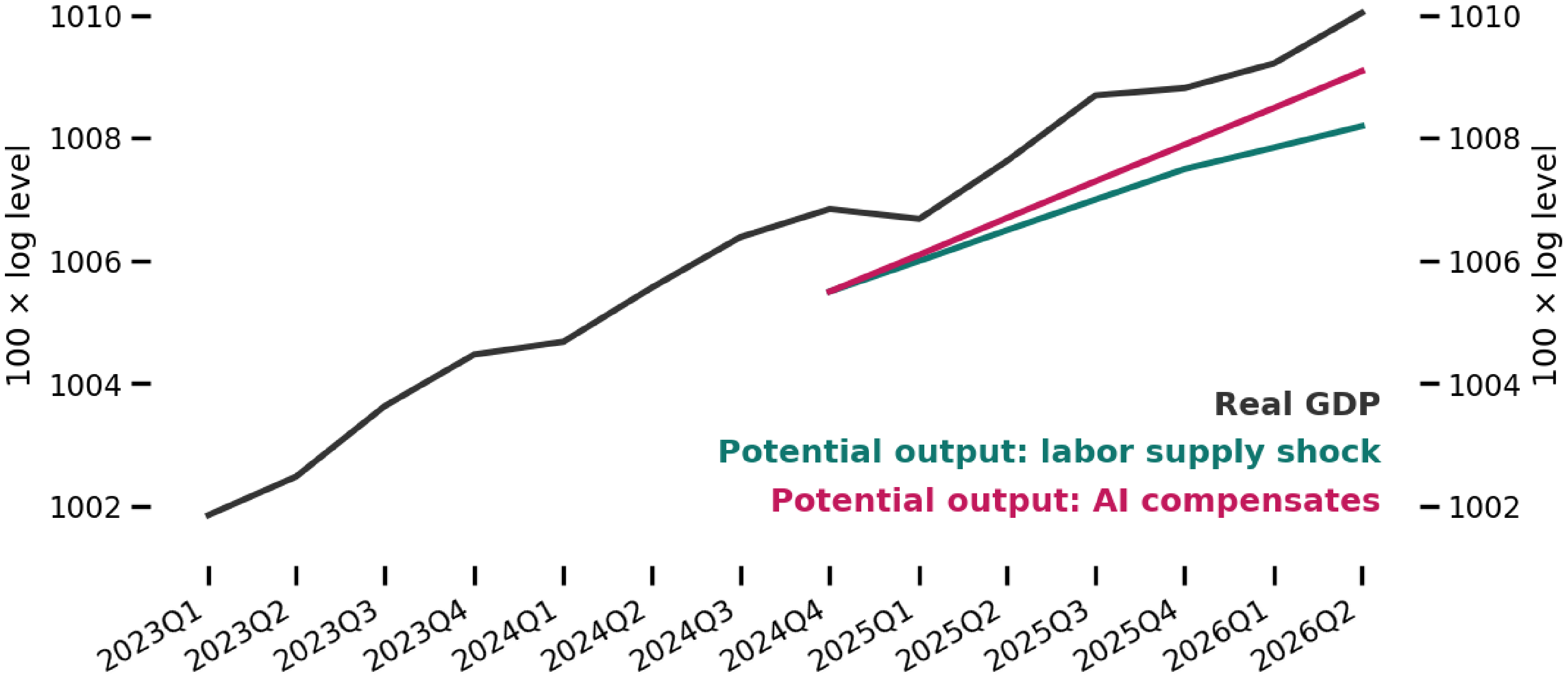


Where is the economy today?

Scenario assumptions for potential output:

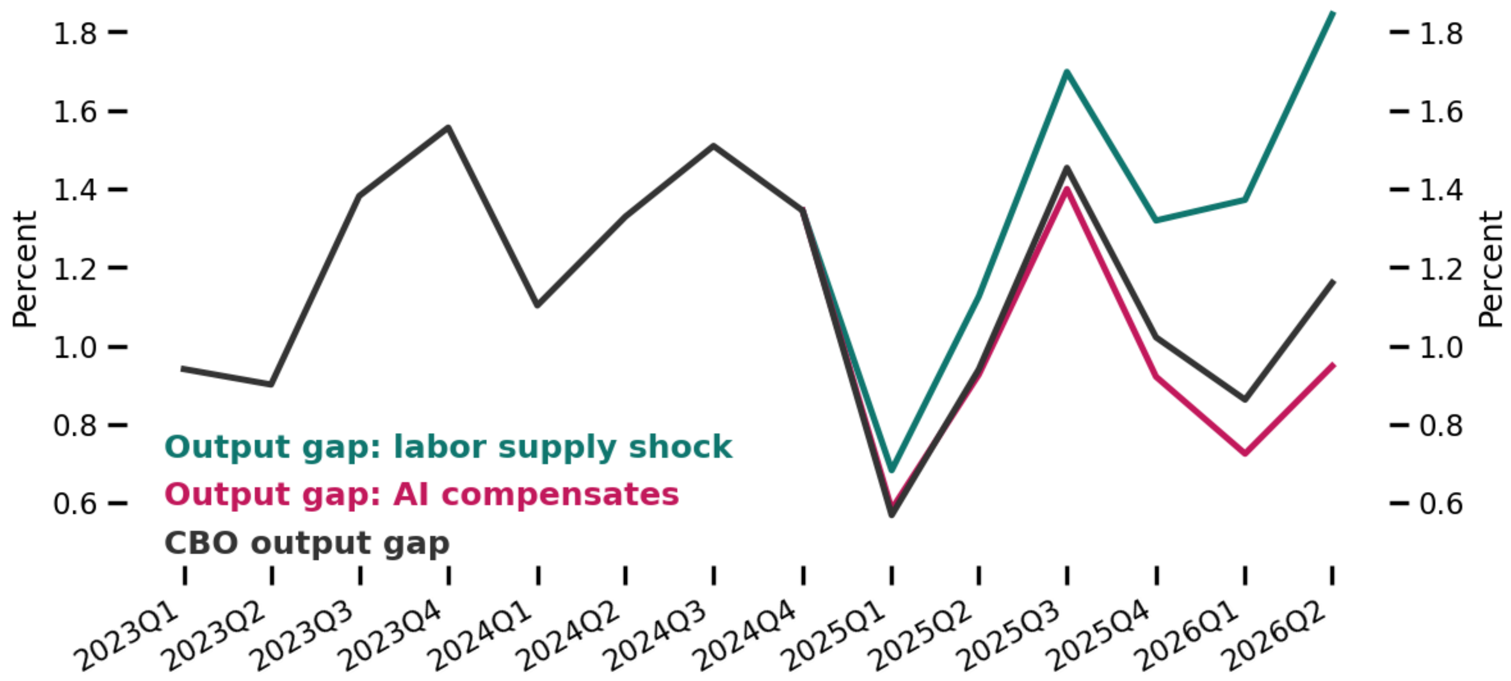
Case A (labor supply shock): potential growth reduced to 1.8% in 2025 and 1.4% in 2026.

Case B (AI compensates): potential growth raised to slightly higher than what is currently estimated by the CBO.



Where is the economy today?

Different estimates for the output gap: 1-2%.



Homework: Start building the presentation
NAIRU and Neutral Interest Rate uncertainty analysis

NAIRU

- Use the CBO as a reference point
- Find out what are some big stories today that could move/challenge current estimates of the NAIRU?
- Any relevant research?

Neutral interest rate?

- Use Lubik and Matthes and Holston, Laubach and Williams as a reference point
- Find out what are some big stories today that could move/challenge current estimates of the neutral interest rate?
- Any relevant research?